

The Iranian Crisis and the Armenian Opportunity: How Global Supply Chains Are Being Restructured

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The situation in the Middle East has completely redrawn the logistics route map for years to come. Not only has the perception of supply chain stability changed, but so has the overall vision of the global transport architecture. In this new configuration, the South Caucasus, and Armenia in particular, is gradually gaining particular importance.

Laura Sargsyan, Sputnik Armenia

Discussions about Yerevan's growing role as a link in the North-South and West-East transport corridors have been ongoing for several years. For at least the past five years, Armenia has been attempting to carve out a niche for itself in Eurasian logistics, including as a participant in the North-South international transport corridor. At the same time, discussions have intensified regarding the country's possible connection to the Trans-Caspian International Transport Route (TCITR).

However, the current crisis in the Middle East and the de facto suspension of some transit through Iran have demonstrated that without a stable Iran, Armenia will not only be unable to fully integrate into key logistics chains but also risks losing the opportunity to consolidate its own transit role in the South Caucasus.

What happened in practice

With the outbreak of hostilities [in Iran] and the suspension of tanker passage through the Strait of Hormuz, shipping routes in the Persian Gulf and related areas have come under attack. Ports located within the Strait of Hormuz have been particularly hard hit.

Against the backdrop of rising global oil prices, shipping lines began introducing additional fuel surcharges on top of existing tariffs. By mid-March, container shipping rates had already increased by an average of 3–10% depending on the route. For example, the cost of shipping a container from Japan to the port of Poti increased by approximately \$500 in just a few days, from \$4,700 in February to \$5,200.

At the same time, demand for cargo transportation through Georgian ports increased sharply. Cargo previously shipped via Iran was added to the already high throughput at Poti and Batumi.

In response to the growing load, the Georgian side launched a new logistics route from Poti to Tbilisi Dry Port in April. This allows Armenian freight forwarders to receive containers in Tbilisi, without having to travel directly to Poti. While this mechanism is currently primarily used for containers loaded with vehicles, the launch of the route itself reflects the rapid change in the region's logistics landscape.

Before the crisis, the main transit route through Iran was from China via Bandar Abbas, Iranian cities, Meghri, and other regions of Armenia. At the same time, a new route was launched for cargo deliveries from China to Armenia via Kazakhstan, Uzbekistan, and Turkmenistan.

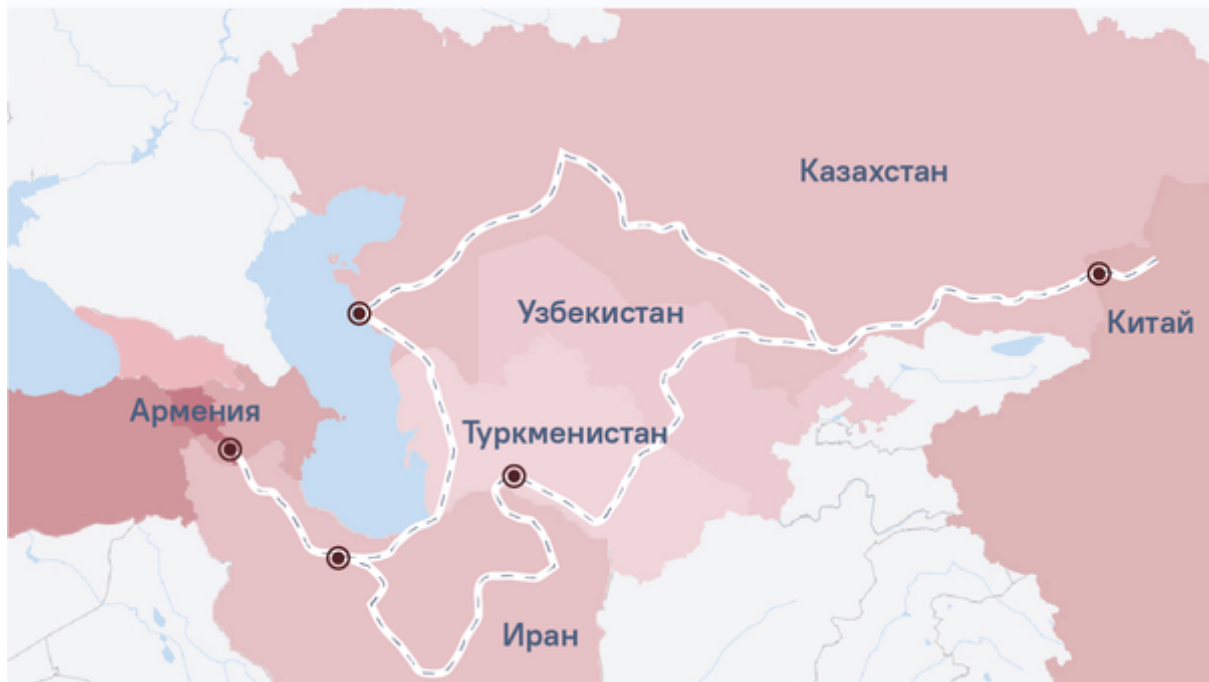
The route includes two operating lines:

- China (Khorgos) – Kazakhstan – Uzbekistan – Turkmenistan – Iran – Armenia;
- China – Kazakhstan – Turkmenistan – Iran – Armenia.

Маршрут мультимодального коридора из Казахстана в Армению

включает две действующие ветки:

- Китай (Хоргос) – Казахстан – Узбекистан – Туркменистан – Иран – Армения
- Китай – Казахстан – Туркменистан – Иран – Армения



Following the reduction in transit through Iran, these routes temporarily lost their appeal for freight carriers. A significant portion of cargo from China now transits through Poti, Georgia, increasing delivery times from approximately 45 days to three months.

Incidentally, demand for shipping from the Persian Gulf countries has also grown. Now, some cargo is delivered by land to ports on the Red and Arabian Seas—primarily Saudi Arabia and Oman—and then shipped by container ships, bypassing Africa to its final destinations.

The Pakistan Factor and the UAE's Withdrawal from OPEC

Freight forwarders were among the first to experience the consequences of instability around the Strait of Hormuz and were forced to quickly reorganize supply routes. However, the current disruptions may be only a harbinger of a larger transformation in global logistics.

One of the first signs of these changes was Pakistan's growing role in regional politics. By supporting Islamabad's role as a mediator in

negotiations with Iran, Washington effectively underscored its growing importance in its own strategy to contain China.

Back in 2025, US President Donald Trump openly identified the maximum weakening of Beijing as one of his key foreign policy goals. Despite the American leader's "historic" visit to China, experts do not expect a significant warming of relations between the two countries. Most analysts agree that the US and China have already become systemic rivals.

Washington continues to build coalitions and transport alliances aimed at limiting Chinese influence not only in Asia but also in other regions of the world. In this strategy, Islamabad, along with New Delhi, is becoming a key focus for the US.

Pakistan is important to Washington due to its geographic location: it provides indirect access to Iran, acts as a conduit to Afghanistan, and has access to the Indian Ocean. The China-Pakistan Economic Corridor is particularly significant. In recent years, Beijing has invested heavily in the development of the Gwadar port, a key element of the Belt and Road Initiative.

Today, Gwadar is no longer just a port. It allows China to bypass vulnerable shipping routes, provides shorter access to the Indian Ocean, and strengthens its control over energy flows.

By strengthening its position in Pakistan, the United States is moving geographically closer to China, which could potentially limit Beijing's room for maneuver. At the same time, Washington is expanding cooperation with India. It was in this context that the United States, in 2025, supported the Middle East Corridor project—the India-UAE-Israel-Greece route.

"ЭКОНОМИЧЕСКИЙ КОРИДОР ИНДИЯ — БЛИЖНИЙ ВОСТОК — ЕВРОПА" (ИМЕС).



The project was envisioned as the first major transport and communications initiative involving India, the UAE, Saudi Arabia, the EU, France, Italy, Germany, and the US. The corridor was intended to bypass Turkey and simultaneously diminish the importance of China's Belt and Road Initiative.

The project's implementation would have significantly strengthened India's position in global trade. However, the war in Gaza complicated maritime transport and jeopardized many of Delhi's plans. Nevertheless, in 2025, the Trump administration effectively decided to revive the project. Washington's consistent steps in this direction demonstrate a desire to weaken China as a global competitor and limit its logistical and political influence.

Another indicator of the transformation of global logistics is the UAE's withdrawal from OPEC. This event has implications not only for the oil market but for the entire global transport architecture. It's no longer so much about oil production as it is about the struggle for control over

logistics flows. While energy resources were once the primary source of influence, today control over transport corridors is becoming the key factor. This transformation reduces market controllability, increases volatility, and creates the risk of a "domino effect," in which other states may follow the Emirates in taking similar steps.

The UAE remains one of the few players that is simultaneously a major energy exporter, a logistics hub, and an investor in infrastructure.

The Emirates' withdrawal from OPEC coincided with intensified discussions around the Middle East Corridor and simultaneously called into question Turkey's "Roads of Development" project, which was intended to link Iraq, Turkey, and Europe. Notably, the UAE is a key player in both projects.

Back in 2023, OPEC announced a transport corridor project to connect southern Iraq with Turkey. At the same time, Turkish President Recep Tayyip Erdoğan declared that the "Roads of Development" could become a "new Silk Road" for the country. In April 2024, during Erdoğan's visit to Baghdad, Iraq, Turkey, Qatar, and the UAE signed a memorandum of understanding on cooperation within the project.

Although Abu Dhabi officially attributes its withdrawal from OPEC to regional security factors, including the situation around the Strait of Hormuz, the decision is clearly motivated by a struggle for control over resource transportation routes.

With the UAE's withdrawal, the "Development Roads" project, which is intended to connect Turkish ports with the Iraqi port of Grand Fao, will be the first to be jeopardized. If the Emirates ultimately reorient themselves toward the US- and India-backed Middle East Corridor, the Turkish initiative could be significantly weakened.



Saudi Arabia is also playing a parallel game. On April 22, the kingdom's Minister of Transport, Saleh al-Jasser, announced that the development of a railway project connecting Saudi Arabia with Turkey via Jordan and Syria would be completed by the end of 2026. The Saudi railway network has already extended to the border with Jordan, potentially turning the route into a major regional trade hub.

What should Armenia do in this configuration?

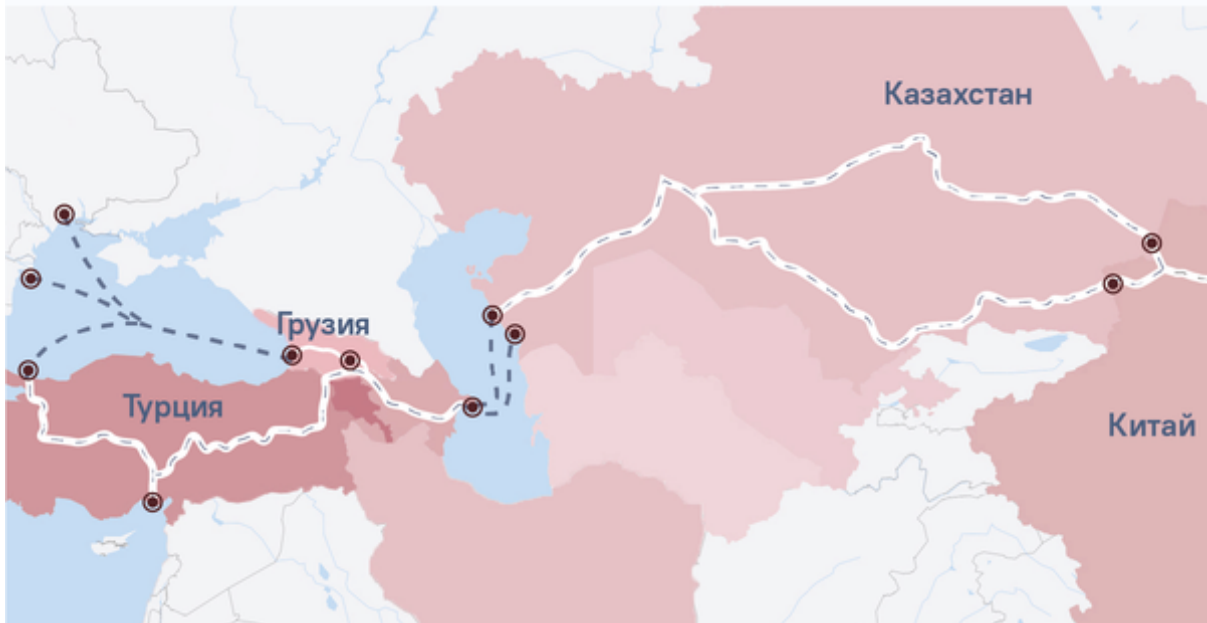
The crisis in the Middle East simultaneously opens new opportunities for Armenia and exposes its vulnerabilities. With significant, albeit currently limited, logistical potential, Yerevan faces both serious challenges and a strategic opportunity to strengthen its position in the region.

The ongoing changes create an opportunity for Armenia to strengthen its role in the South Caucasus transport system and integrate into the emerging Eurasian logistics chains between Europe, Asia, and the Middle East. However, to achieve this, the country must rapidly address infrastructure issues, increase road capacity, and more actively engage in international transport projects.

Participation in the North-South International Transport Corridor projects is of particular importance for Armenia. This could enhance the country's attractiveness as a potential link between various Eurasian routes, including the Middle Corridor, which Armenia could connect to both through existing transport arteries and, potentially, through the Trump Route.

Маршрут Среднего коридора

● Китай – Центральная Азия – Каспийское море – Кавказ – Европа



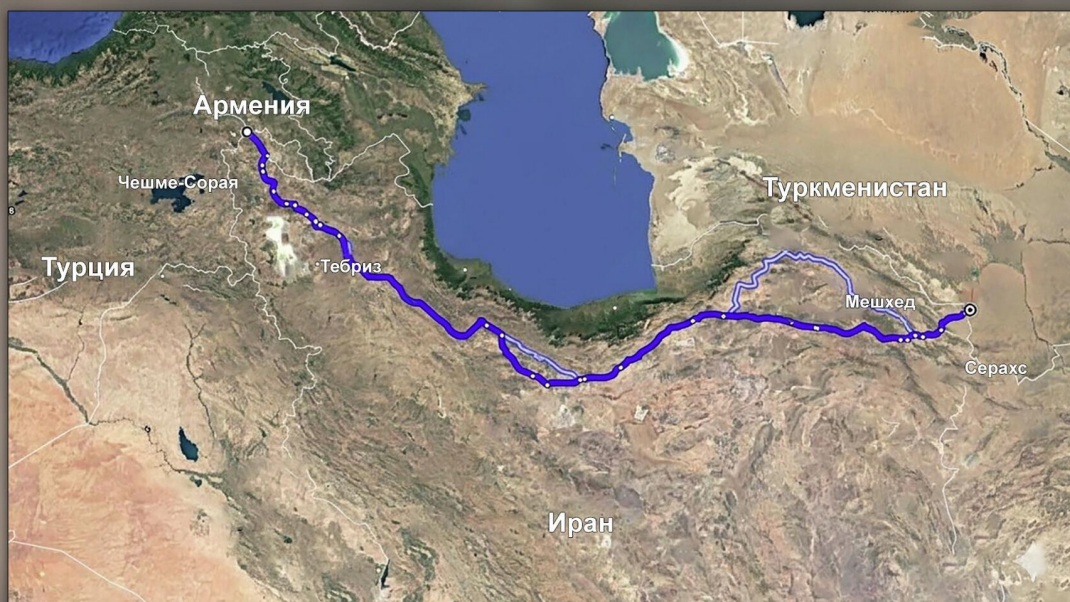
Iran's stability remains a key factor. It is through Iran that Armenia can gain access to both the Persian Gulf countries and major international transport projects at the intersection of North-South and West-East routes.

Specifically, this concerns the possibility of connecting to the emerging Sarakhs-Çeşme-Soraya megaproject.

Against the backdrop of the transformation of global logistics, the Chinese-Iranian project "Sarakhs-Çeşme-Soraya"—a railway corridor through Iran from Serakhs, near the border with Turkmenistan, to the Turkish border, with further access to Europe—has attracted particular attention. The project involves freight transportation by electric trains.

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Section of the Serakhs - Cheshme-Soraya railway road

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Should the Persian Gulf crisis escalate further, this route could acquire strategic importance as one of the key land routes to the European Union. With the inclusion of Armenia and Georgia, it could also strengthen transport connectivity among the EAEU countries. Once the infrastructure issues are resolved, Armenia could utilize its geographic location as a transit hub for this project.

Of particular importance is the Sarakhs-Chabahar corridor, approximately 2,040 km long, which connects CIS countries with open sea routes via the Iranian port of Chabahar.

Against the backdrop of a global restructuring of logistics routes, the South Caucasus is gradually becoming one of the key transit regions of Eurasia. Under these circumstances, it is important for Armenia to accelerate the implementation of both joint projects with Iran and India, as well as its own infrastructure and logistics initiatives.